

Centum Real Estate
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Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
Nairobi

23 November 2021

Dear Geoffrey,

FINANCIAL RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 SEPTEMBER 2021

The Board of Directors of Centum Real Estate Limited is pleased to announce the Company's unaudited interim financial results for the six-month period ended 30 September 2021 as set out below:

Consolidated Statement of Comprehensive Income for the period ended 30 September 2021

KES. '000	30 Sep 21	30 Sep 20
Residential projects:		
Revenue from sale of residential units	1,107,771	-
Cost of sales	(963,633)	-
Gross profit from residential units	144,138	-
Development rights sales:		
Revenue from sale of development rights	172,171	-
Cost of acquisition and development	(6,112)	-
Cash profit on sale of development rights	166,059	-
Less: previously recognized revaluations	(103,451)	-
Net incremental gain	62,608	-
Other income	96,526	26,075
Operating and administrative expenses	(233,204)	(148,327)
Operating profit	70,068	(122,252)
Finance costs	(512,389)	(495,067)
Profit before tax	(442,321)	(617,319)
Profit after tax	(301,998)	(412,353)
Other comprehensive income, net of tax	398,169	-
Total comprehensive income	95,471	(412,353)

Consolidated Statement of Financial Position as at 30 September 2021

KES'000	30 Sep 21	31 March 21
Investment property	28,668,997	28,481,271
Inventory – completed residential units	517,350	874,434
Inventory – residential units under construction	6,668,477	5,731,611
Cash and cash equivalents	1,442,938	1,637,944
Other assets	3,613,536	2,857,165
Total Assets	40,911,298	39,582,425
Deferred Revenues	4,847,015	3,590,750
Borrowings	6,421,152	6,673,402
Other Liabilities	5,639,774	5,939,027
Total Liabilities	16,907,941	16,203,179
Net Assets	24,003,357	23,379,245
Funded by:		
Equity	16,653,432	16,557,956
Shareholder loans	7,349,925	6,821,289
Total Shareholder Funding	24,003,357	23,379,245

Consolidated Statement of Cash Flows for the period ended 30 September 2021

KES'000	30 Sep 21	30 Sep 20
Opening cash and cash equivalents	1,086,106	268,825
Net cash generated from / (used in) operations	1,217,830	(190,347)
Net cash used in investing activities	(42,127)	-
Net cash (used in) / generated from financing activities	(818,871)	1,007,628
Closing cash and cash equivalents	1,442,938	1,086,106

As a development company, payments in relation to development costs are classified as cash used in operations.

Consolidated Statement of Changes in Equity as at 30 September 2021

KES'000	30 Sep 21	31 March 21
Share capital	1,934,633	1,934,633
Other reserves	1,370,152	971,978
Retained earnings	13,348,647	13,651,345
Total	16,653,432	16,557,956

A. BUSINESS OVERVIEW AND PERFORMANCE

The two primary value drivers in our business are (i) sale of development rights within our land banks; and (ii) development and sale of residential infill projects. We have made significant progress on both fronts in Kenya and Uganda, as evidenced by the quantum and value of development rights sales, size of residential projects pipeline and sales, cash collections and the receivable on sales.

i. Development rights

On sale of development rights, out of a holding of 10,639 acres in 2019, our current holding is 8,400 acres, representing sales of 2,239 acres over the last two years. Of this, sales on 1,356 acres have been recognised in the income statement. The build-up of the sales, cash collected and the amounts receivable as of 30 September 2021 is set out below:

	Financial year ended 31 March:			Six-month period ended:
	2019	2020	2021	30-Sep-21
	KES'000	KES'000	KES'000	KES'000
Cumulative Acres	-	32	1,367	2,239
Cumulative sales	-	420,000	2,908,301	5,453,954
Cumulative collections	-	83,255	2,604,356	3,615,865
Cumulative receivable	-	336,745	303,945	1,838,089

The receivable as of 30 September 2021 represents the cash inflows expected within a twelve-month period. This receivable is not recognised on the balance sheet.

The cash profit on development rights sales that were recognised in the year ended 31 March 2021 were KES 2.2 billion. The combined cash profit on land sales recognised in that year and the six-month period ended 30 September 2021 is therefore KES 2.4 billion. This is analysed as follows:

	Six-month period ended 30 Sep 2021	Year ended 31 Mar 2021	Cumulative to 30 September 2021
	KES'000	KES'000	KES'000
Sale proceeds	172,172	2,466,301	2,638,473
Cost of acquisition and infra	(6,112)	(258,668)	(264,781)
Cash profit realised	166,059	2,207,633	2,373,692
Previously recorded unrealised gains	(103,451)	(2,445,540)	(2,548,991)
Incremental gain on disposal	62,608	(237,907)	(175,299)

At 30 September 2021, the sales in progress, being the difference between the KES 5,554 million cumulative sales above and the sales recognised by 30 September 2021 was KES 2,815 million. The cash profit on those sales in progress is KES 2,474 million, as analysed below:

	KES'000
Sale in progress	2,815,481
Cost of acquisition and infra	(341,682)
Cash profit	2,473,799
Less: previously recognised uplifts	(1,842,980)
Incremental gain on disposal	630,819

The realisation of those previously booked gains into a cash profit moves them into a distributable revenue reserve. Realisation at a value higher than that previously recorded validates our carrying value. Based on the carrying value of our properties at 31 March 2021, the average selling price to carrying value ratio is 1.0x, primarily as a result of the weighting of individually large transactions in the mix of sales. Exclusive of these large transactions, the average selling price to carrying value ratio is 2.79x.

Subsequent to 30 September 2021, we have entered into further transactions of KES 3.4 billion.

Our unsold stock of development rights in Kenya and Uganda is currently valued at KES 29 billion, which valuation is validated by transactions over the last two years, as above.

The bulk of these sales closed in the six-month period to 30 September 2021 will qualify for revenue recognition starting from the second half of our financial year. Transactions with a sales value of KES 172 million qualified for revenue recognition, with a realised gain of KES 63 million.

ii. Residential projects

In our sales-led development model, we seek to pre-sell at least 30% of a project phase before ground-breaking. Under our payment terms, 20% of the sale value is collected as deposits while the balance is payable over the construction period. The deposits are accounted on the balance sheet as deferred revenue. The amount receivable from any sale, being the difference between the sale value of a unit and deposits paid, is not accounted for in our books.

The cumulative profit potential of the current pipeline of 2,374 units is KES 4.01 billion built up since 2019 as follows:

	Financial year ended 31 March:			Six-month period ended:
	2019	2020	2021	30-Sep-21
	KES'000	KES'000	KES'000	KES'000
Cumulative profit potential of infill projects	2,827,918	3,282,498	3,617,584	4,018,642
Cumulative Profits booked in the income statement	-	-	124,418	259,944
Cumulative deferred profit	2,827,918	3,282,498	3,493,166	3,758,698

The profits recognised to date relate to fully paid units that have been handed over to buyers. At 30 September 2021, we recognized a profit of KES 135 million for the completed units that met our revenue recognition threshold (March 2021: KES 124 million). We have a stock of 307 completed units of which 93% has been sold and whose revenue is expected to be recognised in the next half of the year. A further 1,834 units are under construction or have been market validated, with a pre-sale level of 62%. The revenue and profit from this project pipeline will be recognised progressively over the next three years. Currently however, our corporate operating costs are recognised upfront. This mismatch, which creates the current loss position, will unwind as we recognised our deferred profits.

An analysis of pre-sale value, collections and the amounts receivable as of 30 September is set out below:

	Financial year ended 31 March:			Six-month period ended:
	2019	2020	2021	30-Sep-21
	KES'000	KES'000	KES'000	KES'000
Cumulative value of pre-sales	3,385,628	7,623,443	11,389,608	13,884,155
Customer deposit collections	511,342	1,973,300	3,793,534	5,467,363
Cumulative receivable	2,874,286	5,650,143	7,596,074	8,416,792

Deferred revenue, representing cash collected as deposits on these pre-sales for units that had not met the revenue recognition criteria stood at KES 4 billion as at 30 September 2021. The amounts due on the pre-sales and collectable over the development period reflects the projected cash inflows over the next three years. The quality of this receivable is supported by our monthly cash inflows.

We can now expect this component of our financial performance to grow sustainably looking forward, as the current projects under development are completed and handed over to customers.

B. Financial Performance and Position

Against the above background, the Group made an operating profit of KES 70 million driven by profit from the completed residential units and land sales. Of an inventory of 536 residential units that have been completed, 202 units met our revenue recognition criteria under IFRS (March 2021: 27). We expect revenue and profit from the balance of these units to be booked in the second half of the financial year ending 31 March 2022, together with revenues and profits arising from projects that are currently being completed. Of the total finance costs of KES 512 million in the period, KES 244 million relates to interest payable on shareholder loans. The interest payable on both the shareholder loans and corporate finance facilities will continually reduce as we pay down the facilities from ongoing development rights sales.

Investment properties

The Group's total assets of KES 41 billion includes KES 29 billion of investment properties. These properties are revalued annually by third party firms, in accordance with IFRS. In both the prior year and the six-month period to 30 September 2021, we have completed several transactions on our land banks either at the carrying value of

the land or at several multiples of the carrying values. Those transaction prices validate the valuation of the properties.

Borrowings

	30 September 2021	31 March 2021
	KES'000	KES'000
Borrowings	6,421,152	6,673,402
Less: Cash and cash equivalents	(1,442,938)	(1,637,944)
Net Borrowings	4,978,214	5,035,458
Equity	24,003,357	23,379,246
Total Assets	40,911,298	39,582,425
Debt-Equity Ratio	21%	22%
Asset Cover Ratio	8.2x	7.9x

The receivable from development rights sales and the available inventory and receivables from residential projects financed by the borrowings is KES 10.2 billion, net of costs-to-completion. This gives a cover of 2.1x over the debt. The Group's cash holding at 30 September 2021 was KES 1.4 billion. At a net debt position of KES 4.98 billion, the group has an asset cover of 8x over the debt and a gearing ratio of 21%. All the project finance debt, including the corporate bond, is fully covered by the escrowed cash and the projects' inventories and receivables. The corporate finance facility is also wholly covered by designated project and land sales receivables.

Outlook

In March 2021, we recognised revenue from sale of 27 residential units as the first batch of units that met our revenue recognition criteria. This has grown by 202 units in the 6-months to 30 September 2021. We are on course to completing construction and commencing hand over of an additional 84 homes in the financial year ending 31 March 2022 and a further 431 in the subsequent financial year. We therefore expect the contribution of our residential projects to our revenues and profitability to sustainably grow, moving forward. The revenue potential of our current pipeline is KES 17.9 billion, which we project to progressively be recognised over the period to 31 March 2024. We continue to see strong demand on all our nodes and remarkable traction in deposit collection. We expect this momentum to be sustained, given the proportion of affordable and mid-market homes in our portfolio.

On development rights sales, we are at various stages of closing on additional sales worth KES 3.4 billion across our sites, where the required deposits are expected to be received in the second half of the year. These sales are expected to be closed in the financial years ending 31 March 2022 and 31 March 2023. We expect the sale of development rights to be a key driver of our performance looking forward, given the level of activity on both nodes and the level of expressions of interest received.

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By Order of the Board,

A handwritten signature in black ink, appearing to read "S. Kariuki". The signature is written over a horizontal line.

Samuel Kariuki
Managing Director

cc Mr. Wycliffe Shamiah
Chief Executive Officer
Capital Markets Authority
Nairobi, Kenya